



CIMA Management Case Study

Mock Exam 5

Flatthall

Suggested Solutions

How to use Astranti solutions

What an Astranti solution is for

Our solutions are designed to be **perfect answers**. That means that they cover every possible point in depth in order to serve as a learning tool.

This is so that when you review your own solutions against ours, you can see what you got right and what you got wrong, what you covered in enough depth, and what you missed out.

What an Astranti solution is NOT for

Our solutions are not an example of what you should be able to achieve in the exam!

When you sit the real exam, you simply **won't have the time to write an answer as long as ours**. Perhaps you'll cover 75% of it, and this is completely fine as long as you have answered the question.

CIMA solutions

You may have noticed our solutions differ from the CIMA solutions. CIMA solutions to past exams are simply examples of a script that might have passed.

They do not prepare, guide or teach you how to improve your answers and increase your chances of passing. Ours do.

Industry examples

You'll notice that we've included real-world industry examples throughout the solutions. This is something you should be doing in your own solutions.

Examiners repeatedly emphasise the **importance of wider industry knowledge** and industry examples are the best way to earn the available marks in this area.

Task 1 - Solution

From: Financial Manager

To: Susanna Leong (Senior Financial Manager)

Subject: Adopting Integrated Reporting, Total Quality Management and Team Co-operation

Hi Susanna,

In the following email, you will find:

- What integrated reporting is, including how it differs from traditional annual accounts and financial statements, and recommended the key steps we should take if we do implement integrated reporting.
- The extent Total Quality Management (TQM) could help us to address complaints such as that received by Ms McCann.
- An assessment of the challenges Flatthall may face in bringing team co-operation and how we could address those challenges.

Sub-task (a) - 40%: Integrated reporting

1ai - Integrated reporting

It is widely agreed that traditional financial reporting does not meet the needs of modern businesses looking to operate in a responsible and resilient manner, not just in the short-term, but also from a medium and long term perspective.

Weaknesses of financial statements

Financial statements draw on historical information and are therefore backward looking. They also focus heavily on financial capital, whereas success for many organisations today (including the hotel industry) depends on other resources. This includes the expertise of their people, their intellectual property developed through research and development, and their interaction with the environment and the societies in which they operate.

Integrated reporting was developed to fill such reporting gaps. The International Integrated Reporting Council (IIRC) has promoted the concept, inspired by the goal of a world where integrated thinking and reporting are embedded in mainstream

Purpose of integrated reports

The primary purpose of an integrated report is to explain to financial capital providers how an organisation creates value over time. This can be done via a mix of quantitative and qualitative information, provided in relation to six key capitals for a business. This should be relatively straightforward for Flatthall since its business model revolves around defining, creating, delivering value as well as capturing residual value.

Six capitals

Capitals are resources that are used and affected by a business. The Framework categorises them as financial, manufactured, intellectual, human, social and relationship, and natural. Across these six categories, all the forms of capital an organisation uses or affects should be considered. An organisation's business model draws on various capital inputs and shows how its activities transform them into outputs.

Steps to adopting integrated reporting

Identify integrated reporting champions

To be successful, integrated reporting needs support from internal figures within a business with the commitment and interest to make it a success. It would be preferable to have the Flatthall CEO and the entire Board behind this initiative if we adopted it.

Take a multidisciplinary approach

Flatthall could form a multidisciplinary working party to lead the implementation of integrated reporting. If we utilise participants from across key parts of our business, then these individuals should help to encourage integrated thinking throughout the organisation and break down any potential barriers or opposition.

Identify the audience

A key initial step in implementing integrated reporting is to identify the audience for our reporting. We must decide whether we want to focus on potential investors, or key stakeholders like shareholders, or whether we want to provide this information to a broad range of stakeholders. The choice we make here should be clearly explained in our report.

Materiality process

Once we decide on our audience, we need to identify which aspects of our value creation are particularly relevant to these parties. What we want to achieve via the implementation of integrated reporting, will impact the way in which we make decisions about material matters. We must ensure we engage with key stakeholder groups (both internal and external) as part of these decisions and must also explain our decision making in relation to identifying material issues in our report.

Data use

We shouldn't overlook the importance of a clear and early performance overview in an integrated report. This will clearly highlight the business's performance to investors, before they get into the detail of the report. As part of this process, we should set out any targets we had for the financial period in question, even if we have failed to achieve these. Comparative figures and relevant explanatory notes will also be useful to include here.

Board commitment

We must also demonstrate to stakeholders that integrated thinking within Flatthall is being driven from the very top of this business. For example, it might be useful for the CEO to set out what Flatthall wants to achieve via this change to our reporting.

Set expectations

Finally, we need to make it clear to stakeholders that our integrated reporting will improve and evolve over time. However, given some of our competitors already provide integrated reporting, we will need to ensure that the quality of our integrated reporting catches up.

Sub-task (b) - 60%: Total Quality Management and Teams

1bi - TQM

Overview

The purpose of TQM is to prevent quality errors from occurring, so that complaints are not made in the first place and external failure costs are avoided, at least as far as possible. In this case, there have clearly been two quality errors in respect of the cleanliness of the corridors adjacent to Ms McCann's room, which will have affected not only Ms McCann, but the other students whose rooms are nearby. Firstly, the designated cleaner who was responsible for that area was negligent in failing to keep it clean and, secondly, there was no follow-up once the problem was reported to check that the work had been done since.

Prevention

It is generally cheaper to prevent costs than to rectify them once they occur, and that is clearly the case here because a cleaner had been paid to clean the corridor, suggesting that the marginal cost of keeping the corridor clean is effectively zero.

Continuous improvement

Total Quality Management stresses continuous improvement, which means that zero errors should be a goal, with constant effort to reduce errors. In this case, the Guest Services Advisor should have made a follow-up inspection to ensure that the dirty corridor had been cleaned properly.

A prompt inspection would have made it possible to avoid further irritating the student. A TQM programme would require the cleaners to identify problems that may cause quality errors. It is, for example, possible that the corridor was cleaned thoroughly on a regular basis, but quickly became dirty.

Quality circles

Under TQM, the cleaners would identify problems and recommend changes that might help to resolve them, such as replacing the floor covering with something that did not trap dirt. It might even be worth implementing quality circles so that groups of staff can address problems and identify responses more effectively.

Limitations of TQM

TQM will not prevent every quality issue from arising and, in some cases, it may be impossible to attempt to do so because a solution would be unduly inconvenient or expensive, thereby creating prevention and appraisal costs.

Ms McCann's complaint that her allocated room was noisy because of a nearby elevator and vending machines could only really have been prevented by switching her to a quieter part of the hotel whenever a space became available and putting another student in her original room.

Costs of improvements

Continuous improvement would be possible to a limited extent if Flatthall was willing to spend more on soundproofing the laundry room so that it doesn't disturb students. Even then, there would still be scope for disturbance, for example, from other students.

In this instance, "quality" would have to be determined in relation to the fact that students may be exposed to some low-level disruption from basic operations, including cleaning and things like fire alarm tests, and that students will have to accept such disruption as part of their tenancy. However, it must be kept to a minimum threshold that does not cause undue disruption in the lives of students.

1bii - Team cooperation

Agendas

The most immediate challenge is that the individual members of Customer Service staff may have their own agendas with regard to their interaction with students. That was highlighted by the fact that Ms McCann singled out for praise the cleaner who had failed to keep the corridor outside of her room. It may be that the cleaner saw some advantage in focusing on cleaning student rooms, because of the possibility of such positive feedback, such as that provided by Ms McCann.

Dysfunctional behaviour

The feedback from students tends to suggest that some roles are more likely to be appreciated than others. That might deter staff in roles that are traditionally valued by students from working closely with others, because those staff will be aligning themselves with colleagues whose scores will dilute their own. They may resent any suggestion that they should accept a collective responsibility for overall student satisfaction when they already appear to be succeeding in their own areas.

Staff appraisals

One response to the challenge of individual agendas would be stop passing on detailed student feedback to individual members of staff, so that they felt less pressure to prioritise positive comments. Staff appraisals could focus on the impressions of supervisors and managers, who may be more objective about the overall performance of their staff.

Collective responsibility

A greater sense of collective responsibility might be created by having a broader approach to feedback that forces staff to work together. For example, the feedback regarding maintenance and amenities suggests that students are not happy with the responsiveness or time taken to fix these issues. However, students appear to be satisfied with the quality of their rooms. If the feedback took a broader view of the overall room quality, then the maintenance staff could be given more of an incentive to respond quickly to any issues that might impede student perception of room quality.

Regards

Financial Manager

Task 2 - Solution

From: Financial Manager

To: Susanna Leong (Senior Financial Manager)

Subject: Internal Benchmarking, Big data analytics and data as source of competitive advantage

Hi Susanna,

- I have identified the advantages, disadvantages and problems associated with internal benchmarking.
- I have also identified the advantages and disadvantages of using data sources as highlighted by the IT manager and big data analytics to build a model that could identify relationships between the information we have captured and revenues.
- Finally, I have evaluated the potential value of Flatthall student data as a source of competitive advantage.

Sub-task (a) - 40%: Internal benchmarking

1ai - Internal benchmarking

Internal benchmarking is the practice of comparing business units within the same organisation. Such benchmarks can be set by looking at an organisation's past performance as a whole, or by the past performance of the differing divisions that make up its operations. For example we could compare the occupancy rates of each building as well as the results of student feedback forms to identify the best site for each benchmarked area.

If, for example, Northtown achieved an occupancy rate of 85% it might be valid to set this target for the other regions. Similarly, if the best site in a region achieved a net profit percentage of 15%, then that might be a valid target for all sites in that region.

Advantages

Internal benchmarking can have advantages, such as:

Availability of data

Access to the required data should be quick, easy and cheap. It should be relatively straightforward for Flatthall to access comparable data across divisions and across

different sites, as for example the budget shows that we compare the occupancy rates for each site and it should be relatively straightforward to compare student surveys across our accommodation.

Only method available

Internal benchmarking might be the only method if there are no external suitable companies for comparison and it might be the only approach possible where other companies' data is confidential and difficult to obtain.

Disadvantages

The potential dangers with internal benchmarking revolves around it being inward looking.

Performance of competitors

A key disadvantage of internal benchmarking is that the performance of our main competitors is not being taken into account. While it is useful to identify whether or not our performance has improved over time, it can be argued that this is irrelevant, if we are still being outperformed by key competitors in our market.

Limited opportunities to learn

Somewhat linked to the above point, but an internal focus on our performance means opportunities to learn and grow can be limited. If we fail to identify that competing PBSA companies are outperforming us, we may be unable to identify the areas in which we are being outperformed and, therefore, fail to adjust our performance and learn from our mistakes here.

Potential problems with benchmarking

Inappropriate benchmarks

We must ensure that any benchmarks we set are appropriate and that they are regularly updated to ensure they are continually beneficial to our operations. If we set benchmarks in the wrong areas, or fail to update existing benchmarks over time, then any value Flatthall hopes to achieve from this exercise will be undermined.

If we take the example of setting the same occupancy rate target for all sites, this may ignore the fact that each site has different sized students bodies and different numbers of

universities in the region. If this benchmark was used it would have to be updated to take account of the differences between regions and sites.

Defensive behaviour

While benchmarking is useful in identifying performance trends, it does not provide explanations for why these trends have actually occurred. This process is therefore worthless, if it is not followed up by addressing relevant issues and making relevant improvements to performance. We must ensure our management are on board with this process and open to any improvements that we suggest as a result of it. Any management failure to embrace potential changes as a result of this process, will again undermine its validity for us.

Dysfunctional behaviour

Whatever is measured is changed. Employees know that whenever performance targets or objectives are set, then almost certainly appraisal will follow. Therefore, full attention is paid to whatever is measured, often to the detriment of overall desirable performance and this could lead to dysfunctional behaviour.

Sub-task (b) - 60%: Big Data Analytics

2bi - Advantages and disadvantages

Advantages of Big Data Analytics

Drawing inferences

The first advantage is that Big Data analytics would enable Flatthall to draw inferences from the whole set of data that it holds. There could, for example, be relationships between answers to specific questions on the customer satisfaction surveys that influence the likelihood of a repeat booking.

Studying the responses in isolation of booking files might not enable Flatthall to see the relative importance of satisfaction in particular areas of the student experience. It may be, for example, that students will make a repeat booking provided the building was clean or provided they found the staff friendly.

Once the model has been constructed, Flatthall will be able to run it repeatedly in order to establish whether any of the factors have changed in importance. For example, whether

changes to the cleaning schedule or amenities available have had an impact on overall student satisfaction.

Tracking impact of changes

Apart from anything else, that would give Flatthall a basis for checking the impact that any changes made in response to previous feedback have had. Hopefully, there will be signs of increased student satisfaction and an increase in the number of returning students.

Big Data Analytics disadvantages

Unrepresentative data

Underlying data might not be particularly helpful, because it is not always fully representative. One obvious issue is that the customer satisfaction surveys are completed by only 25% of students, which could create a significant problem because of non-response bias. If, say, unhappy students are more likely to take the trouble to complete the survey, then Flatthall could be tempted to make changes that take no account of the views of the students who were highly satisfied but who choose not to take the time to complete the survey.

Misleading results

Big Data analytics do not necessarily develop a causal model and could produce misleading results. For example, students' experiences could have been affected by an event that was beyond the control of Flatthall, which meant that they did not enjoy themselves.

External factors

If Flatthall had not taken account of such external factors then it could draw incorrect conclusions from the results of its analysis of the data that it has collected internally. It may also be difficult to measure key variables, such as the proportion of students return in future years. Many students will move into private rented houses in their second and third years as part of the student experience. However, this does not necessarily reflect a failure to maintain customers but rather a social trend.

2bii - Big Data as a source of competitive advantage

Dynamic pricing models

By analysing booking patterns, room preferences, and seasonal demand fluctuations, Flatthall can develop dynamic pricing strategies that optimise revenue. For example, prices can be adjusted in real time based on factors like booking lead times, cancellation rates, and peak demand periods. This approach not only maximises income during high-demand periods but also increases occupancy rates during typically slower periods.

Customised tenant experiences

Flatthall can use the data from its digital engagement platforms to understand individual preferences and behaviours, allowing them to offer personalised experiences to students. For instance, if data shows high usage of study rooms during exam periods, Flatthall could offer reserved study spaces or additional quiet areas, enhancing the student's living experience and increasing satisfaction and loyalty.

Predictive maintenance and resource allocation

With data on the usage patterns of facilities and amenities, Flatthall can implement predictive maintenance strategies to prevent breakdowns and ensure optimal operation of all facilities. This proactive approach reduces downtime and repair costs, improves tenant satisfaction, and ensures that resources are allocated efficiently according to actual usage.

Targeted marketing and retention campaigns

Utilising detailed booking information and feedback from satisfaction surveys, Flatthall can craft highly targeted marketing campaigns to attract new students and retain existing ones. For example, they can identify students who may be nearing the end of their tenancy and target them with personalised renewal offers based on their past preferences and feedback.

Enhanced decision-making through integrated data insights

By integrating data from multiple sources (booking details, digital interactions, customer feedback), Flatthall can gain comprehensive insights into the overall student experience. This holistic view enables them to make informed strategic decisions, from designing new

buildings to modifying service offerings, based on a deep understanding of what drives student satisfaction and revenue.

These specific applications of data analytics not only help Flatthall optimise its operations and marketing but also provide a superior living experience that can differentiate it from competitors in the PBSA market.

Regards

Financial Manager

Task 3 - Solution

From: Financial Manager

To: Susanna Leong (Senior Financial Manager)

Subject: Acquisition: Financial Reporting Implications, Provisions and Liabilities and Sensitivity Analysis

Below, I have explained the financial reporting implications of acquiring OneStopGym (OSG) and the fair value adjustments required. Additionally, I have detailed the treatment of impending legal action and insurance excesses as liabilities or contingent liabilities in our accounts. Lastly, I have outlined the advantages and disadvantages of undertaking sensitivity analysis in relation to marketing spend and its potential impact on sales of rooms.

Sub-task (a) - 50%: Acquisition: financial reporting implications

3ai - Acquisition

The Board is considering acquiring OSG, which would give Flatthall a competitive advantage by extending our service offerings to include convenient gym facilities near our PBSA locations, benefiting both students and the public.

Reporting of a subsidiary

If after the share purchase we control OSG then OSG will be a subsidiary of Flatthall. This means that Flatthall would have the rights to returns from OSG and the ability to affect OSG performance through its power over OSG. This is usually said to be the case if Flatthall owns for than 50% of the voting rights.

Acquisition accounting

If OSG is a subsidiary we need to use acquisition accounting. Flatthall and OSG's assets, liabilities, income and expenses will be combined in full. We will need to recognise goodwill. The share capital of the group will be the share capital of Flatthall only. Any intra-group balances and transactions will be eliminated. Both companies must use the same accounting policies. Any non-controlling interest must be shown separately from the equity of the owners of the parent.

Profit and comprehensive income are attributed to the owners of the parent (Flatthall) and to the non-controlling interest. If Flatthall reaches an agreement to purchase all the shares then there will be no non-controlling interest.

Fair value

Goodwill must be calculated as the difference between what Flatthall pay for the shares and their fair value. Fair value is defined as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

If Flatthall pays cash for the OSG shares then the value of the cash is not debatable, but if Flatthall offers shares in Flatthall then the fair value of those shares must be considered.

We also need to measure the fair value of OSG net assets at the date of acquisition. Net assets would include assets, liabilities and contingent liabilities (i.e. dependent on certain future conditions being met).

Identifiable assets

These net assets must also be identifiable (i.e. exist) at acquisition. As such, items like provisions for restructuring are not included as they arise in the future. Contingent assets are not allowed. To be identifiable, the asset must be separable (i.e. capable of being separated or divided from the subsidiary and sold, transferred, rented or exchanged) OR arise from contractual or legal rights. There are exceptions to this rule e.g. contingent liabilities; deferred tax assets/liabilities and assets held for sale.

How fair value of net assets is measured

The acquirer recognises and measures the identifiable assets/liabilities acquired at their fair values at the acquisition date. Some assets and liabilities that the acquirer recognises would not exist in the subsidiary's books e.g. intangibles like brand name. They would have been internally generated in the subsidiary as such the costs expensed.

Sub task (b) - 25%: Provisions

3bi - Provisions

A provision is defined as a liability of uncertain timing or amount. Therefore the first stage in recognising a provision is to make sure that it is at least a liability. A liability is a present obligation of the entity arising from past events, the settlement of which is expected to result in an outflow from the entity of resources embodying economic benefits.

Insurance excesses

These should be recognised as provisions within our financial statements. Provisions are accounted for when there is a present obligation that arises from past events, where it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and the amount can be estimated reliably.

In the case of Flatthall, the insurance excesses fit these criteria because they stem from actual incidents or accidents within our accommodations, creating a financial obligation that is likely to result in an outflow of funds. Therefore, they are not merely possible obligations but are indeed expected to lead to expenditures.

Legal action

The legal action initiated by a competitor accusing Flatthall of copying marketing strategies and booking systems is treated as a contingent liability. This is because the potential obligation depends on the outcome of future events that are presently uncertain—specifically, the results of legal proceedings.

According to accounting standards, a contingent liability is not recognised in the financial statements because it represents a possible obligation that will only become actual based on the outcomes of uncertain future events that are not wholly within the control of the entity. If the potential loss from this legal action becomes probable and the costs can be reasonably estimated, then it will shift from a contingent liability to a provision.

Accounting treatment

Provisions are recorded in the financial statements when the criteria are met. They appear as a liability on the balance sheet and are matched with an expense in the profit and loss account. This treatment affects the net income and financial position of Flatthall, reflecting a conservative approach to financial management by acknowledging obligations that are likely to occur.

Contingent liabilities, however, are not recognised in the financial statements due to their uncertain nature. They are disclosed in the notes to the financial statements to inform stakeholders of potential risks that could impact the financial position in the future if these liabilities become actual. The disclosure helps maintain transparency with investors and creditors without distorting the actual financial condition of the entity at the reporting date.

Sub task (c) - 25%: Sensitivity analysis

Sensitivity analysis is a management tool that helps us consider the impact that a change in one variable would have on other, dependent variables. Sensitivity analysis is a “modelling and risk assessment procedure in which changes are made to significant variables in order to determine the effect of these changes on the planned outcome”. It is sometimes referred to as “what-if analysis”

An example of sensitivity analysis can be something like - “What would happen to our sales of rooms (dependent variable) if our marketing spend (independent variable) increases by 5%?” As it tries to answer many what-if questions, it is also called as “what-if analysis”

The advantages and disadvantages to sensitivity analysis as follows:

Advantages

Informed decision-making

Sensitivity analysis allows Flatthall to model various scenarios based on changes in marketing spend. This tool helps forecast the impact of different levels of investment on room sales, which aids in making informed budgetary decisions. By quantifying the potential outcomes of different marketing strategies, management can allocate resources more effectively to optimise returns.

Risk assessment

Sensitivity analysis is instrumental in identifying how changes in marketing spend might affect sales outcomes. This understanding enables Flatthall to anticipate and plan for possible fluctuations in revenue, thereby enhancing the company's ability to manage financial risks. It provides a framework for preparing for adverse scenarios, ensuring that the company remains robust against unforeseen decreases in market response.

Strategic planning

Utilising insights from sensitivity analysis, Flatthall can strategically decide where and how much to invest in marketing. Understanding the elasticity of room sales in response to marketing efforts allows the company to optimise marketing strategies, ensuring that funds are invested in campaigns that yield the highest returns or meet strategic objectives such as brand positioning or market penetration.

Disadvantages

Dependence on assumptions

The major drawback of sensitivity analysis is its reliance on assumptions about how variables such as marketing spend influence room sales. These assumptions may not always hold true across different market conditions or demographic segments, potentially leading to inaccurate forecasts and misguided strategic decisions.

Potential for oversimplification

While sensitivity analysis is a valuable tool, it can sometimes oversimplify the complex dynamics of market behaviour by focusing only on isolated variables. This method might neglect other influential factors like economic conditions, competitive actions, or changes in consumer preferences, which can also significantly impact sales. Such oversimplification can lead to strategic errors if not balanced with comprehensive market analysis.

Regards
Financial Manager

Task 4 - Solution

From: Financial Manager

To: Susanna Leong (Senior Financial Manager)

Subject: Preference Shares, Project Control Phases, Project Manager leadership and Project Management Key Roles

Hi Susanna

Following your request, I have detailed the benefits and drawbacks of issuing preference shares from both the perspective of Flatthall and potential investors. Additionally, I have outlined the five main phases of the project management process and assessed the importance of effective communication. Finally, I evaluated John Walker's leadership approach during the recent refurbishment project and have made suggestions for his development as an effective project leader, alongside an analysis of the key roles and stakeholders involved in such a complex project.

Sub task (a) - 25%: Preference shares

4ai - Preference shares

Preference shares are an alternative type of equity investment to ordinary shares. They function in a specific type of way which means they have characteristics of both debt and equity. As a result, they are considered to be hybrid instruments. Given all of our existing shares are ordinary shares, by issuing preference shares we would have two share classes.

Benefits for Flatthall

Non-voting rights

Issuing preference shares typically does not confer voting rights to shareholders. This allows Flatthall to raise capital while retaining control over company decisions, as preference shareholders do not have a say in the operational and strategic management of the company.

Fixed dividend payments

Preference shares often offer fixed dividends, which can make financial planning more predictable and manageable. They provide a steady income stream to investors without the obligation of high dividend variability tied to company performance, which can be appealing during volatile periods.

Benefits for investors

Priority on dividends

Investors are generally attracted to preference shares due to their priority over ordinary shares in dividend payments. This can be particularly appealing during economic downturns where earnings are unpredictable.

Convertible options

Some preference shares come with the option to convert into ordinary shares, offering the potential for capital gains in addition to fixed dividends. This provides an attractive blend of stability and growth potential.

Drawbacks for investors

No voting rights

The primary drawback for investors is the lack of voting rights, which excludes them from influencing company policy, strategic decisions, and board elections. This might deter investors who seek control or a more active role in the governance of the company.

Limited upside potential

Since the dividends for preference shares are typically fixed, shareholders do not benefit from increases in the company's profitability beyond the agreed dividend rate. This cap on potential returns can make preference shares less attractive to investors looking for high growth investments.

Sub-task (b): 25% - Project management phases and the importance of communication

Project management is a critical discipline in achieving operational success, especially in complex refurbishment projects like the one Flatthall undertook in Central City. The project's reported delays and budget overruns highlight the need for a structured approach and effective communication. Here, I outline the five main phases of the project management process and assess the importance of good communication throughout these phases.

Initiation

The initiation phase is where the project's goals, scope, and objectives are defined. For the Central City refurbishment, this would involve identifying the specific sections of the building that need updating and establishing clear goals for the aesthetic and functional upgrades. It's essential to involve all key stakeholders during this phase to align expectations and resources.

Planning

This phase involves setting out the roadmap to achieve the objectives established during the initiation phase. It includes detailed scheduling, budgeting, and the allocation of resources. For a project that must remain operational for student use, planning also involves strategies to minimise disruption to occupants. This might include phasing the work, using temporary partitions, or scheduling noisy activities during off-peak hours.

Execution

Execution is the phase where plans are implemented, and the physical refurbishment takes place. It's the most visible phase of the project and involves coordinating teams, managing suppliers, and maintaining rigorous adherence to the project plan. Regular updates and team coordination meetings are crucial here to address any arising challenges swiftly.

Monitoring and control

Concurrent with execution, this phase involves tracking the project's progress against the plan. Monitoring tools and techniques are used to assess performance and ensure the project remains on track and within budget. Any deviations are addressed through immediate corrective actions, which require clear and prompt communication.

Closing

In the closing phase, the project is formally completed and reviewed. All project deliverables are handed over, and documentation is finalised. Post-project reviews and debriefings are critical to understanding what went well and what didn't. This phase often provides valuable lessons that can improve future projects.

Importance of good communication

Ensures alignment

Regular and clear communication keeps all project stakeholders aligned with the current status and any changes to the project. This is especially important in environments where ongoing operations can't be halted.

Facilitates collaboration

Effective communication fosters a collaborative environment where ideas can be shared and solutions can be found collectively. It ensures that all team members are on the same page and working towards the same objectives.

Reduces errors

Misunderstandings can lead to costly mistakes. Regular briefings and clear, documented communications reduce the risk of errors stemming from miscommunication.

Enhances morale and engagement

Keeping lines of communication open and inclusive boosts team morale and keeps members motivated. Recognising contributions and discussing challenges openly can significantly enhance team dynamics and project outcomes.

Improves risk management

Effective communication is vital for identifying and managing risks promptly. It allows project managers to gather insights from various team members and stakeholders, enabling proactive risk management.

For the Central City refurbishment, the reported lack of structure and persistent communication issues likely contributed to the project delays and budget overrun. Implementing robust communication strategies across all phases of the project management process could mitigate such issues in future projects, ensuring smoother operations and more predictable outcomes.

Sub task (c) - 50%: Project manager leadership and project roles

4bi - Project manager leadership

Leadership is a process of social influence in which one person can enlist the aid and support of others in the accomplishment of a common task. It is about inspiring people and creating a vision that motivates. Effective leadership in any business scenario is therefore crucial.

In the context of the recent refurbishment project in Central City, where John Walker took over leadership from the experienced Helen Brewster, it is critical to analyse John's leadership approach, suggest areas for improvement, and discuss the key roles and stakeholders involved in complex projects like this one.

Assessment of John Walker's leadership approach

Overview of John's leadership style

John Walker's leadership style, as noted in the briefs, shows a strong inclination towards a highly directive or autocratic approach. His philosophy that previous project management methods were overly indulgent towards team input and his preference for minimising meetings and direct communications reflects a task-focused leadership style that undervalues team interaction and input.

Impact on team and project performance

John's approach has seemingly led to several issues, including lowered team morale and poor communication. The introduction of unilaterally set, ambitious performance targets further alienated the team, affecting overall project efficiency and output. This style contrasted sharply with his predecessor's more inclusive and consultative approach, which encouraged team participation and fostered a positive working environment.

Recommended training for John

Leadership skills development

John would benefit from training that focuses on developing emotional intelligence, empathy, and listening skills. Programs that encourage understanding diverse team dynamics and adapting leadership styles to meet team needs could be particularly beneficial.

Project management certification

Formal training in project management methodologies, such as PMP (Project Management Professional) or PRINCE2, could provide John with structured approaches and best practices in project management that balance task orientation with team management.

Communication workshops

Workshops that focus on effective communication strategies would help John understand the importance of maintaining open lines of communication and the impact of communication on team performance and project success.

4bii - Project roles

Ensuring a project has the right staff and wider stakeholders on board is crucial to the final realisation of its objectives and vision. The following are some of the key roles that are crucial in ensuring a project's success:

Project manager

The project manager is a vital role in any project. It is the project manager's responsibility to look after the nine key areas of project management and ensure the project is completed on time, within budget and to the required standard of quality.

The refurbishment project clearly indicates the important role that a project manager can play in a project's success or failure. Whilst it's important to consider other factors here, the PM's mismanagement of a key resource in terms of the project's staff, can be seen as a key reason for the issues this project has experienced.

Project team

The project team consists of staff members responsible for undertaking project activities. To be successful, the project team must work well as a team, be well coordinated, motivated and managed, and have the right mix of skills and personalities. Providing clear objectives, roles and responsibilities, as well as appropriate resources, is also crucial.

In relation to the refurbishment project, it's unclear about whether factors like the project team mix, or their resources impacted the issues this project experienced. What is clear however, is that the project team's effectiveness was severely undermined by poor motivation levels and poor management. This lack of effectiveness has then had a tangible impact on the successful and timely delivery of this project for Flatthall.

Steering committee/Project board

Also known as the project board, these stakeholders make high-level decisions during a project's implementation. In large organisations, these groups will likely be separate functions, with the steering committee the subordinate body, meeting on a more regular basis. For example, in relation to this project, it would have been the project board who made the decision to conduct the refurbishment of building, whilst it remained open for business.

Project client

Clients are end-users, who will ultimately benefit from the completion of a project. These may be both internal and external in nature. Understanding the needs of these stakeholders is vital to ensuring a project's success and avoiding potential sources of conflict.

The key client group for this project are of course our customers. While completing the refurbishment has eventually catered to these stakeholders, the disruption caused to students by the elongated refurbishment process which was carried out while the building remained operational can't be underestimated. In hindsight, we may have been better served leaving the refurbishment to the summer months when students return home, reducing the impact on this key stakeholder group.

Regards

Financial Manager

Marking matrix

Task	Topic	Core activity	%	Marks	Total
1a	Integrated reporting	E	40	10	25
1b	TQM and team co-operation	C	60	15	
2a	Internal benchmarking	D	40	10	25
2b	Big data analytics and competitive advantage	A	60	15	
3a	Acquisition: financial reporting	E	50	13	25
3b	Provisions and liabilities	D	25	6	
3c	Sensitivity analysis	D	25	6	
4a	Preference shares	B	25	6	25
4b	Project management phases	B	25	6	
4c	Project manager leadership and key roles	C	50	13	
					100

Marking guidance

Task 1		
(a)	E. Manage internal and external stakeholders	40%
(b)	C. Manage performance and costs to aid value creation	60%

E - I can explain the implications of Integrated Reporting for the reporting entity and its stakeholders. (10 marks)		40%
1ai - What integrated reporting is, including how it differs from traditional annual accounts and financial statements. Please then recommend the key steps we would need to undertake as part of adopting integrated reporting.		10 marks
	No rewardable material	0
Level 1	Identifies and explains in minimal detail the key stages in adopting Integrated Reporting	1-3
Level 2	Identifies and explains in detail the key step stages in adopting Integrated Reporting	4-7
Level 3	Identifies and explains in detail the key stages in adopting Integrated Reporting and explains in detail how Integrated Reporting is different to traditional annual accounts and financial statements	8-10

C - I can identify and apply appropriate quality management techniques to enhance value (15 marks)		60%
1bi - To what extent can Total Quality Management (TQM) help us address student complaints.		7 marks
	No rewardable material	0
Level 1	Analyses to a limited extent the extent to which TQM could help to address complaints	1-2
Level 2	Analyses in a clear and logical manner the extent to which TQM could help to address complaints	3-4
Level 3	Analyses in a clear, logical and comprehensive manner the extent to which TQM could help to address complaints	5-7
1bii - What challenges do we face in building effective team cooperation, as well as how we could address those challenges.		8 marks
	No rewardable material	0
Level 1	Analyses to a limited extent what challenges Flatthall could face in bringing about team co-operation and how Flatthall could address those challenges	1-3
Level 2	Analyses in a clear and logical manner the challenges Flatthall could face in bringing about team co-operation and how Flatthall could address those challenges	4-5

Level 3	Analyses in a clear, logical and comprehensive manner the challenges Flatthall could face in bringing about team co-operation and how Flatthall could address those challenges	6-8
----------------	--	-----

Task 2		
(a)	D. Measure performance	40%
(b)	A. Evaluate opportunities to add value	60%

D - I can support managers by recommending actions to improve financial performance and position and assessing how suggestions impact on the wider organisational ecosystem (10 marks)		40%
2ai - Explain the concept of internal benchmarking, along with the advantages, disadvantages and problems associated with this practice.		10 marks
	No rewardable material	0
Level 1	Identifies and explains in minimal detail the disadvantages of benchmarking	1-3
Level 2	Identifies and explains in detail the disadvantages of benchmarking including internal benchmarking	4-7
Level 3	Identifies and explains in detail the disadvantages of benchmarking including internal benchmarking and any advantages in internal benchmarking	8-10

A - I can identify and use relevant digital data sources to assist in capital investment decisions (15 marks)		60%
2bi - Identify the advantages and disadvantages of using these data sources and big data analytics to build a model that could identify relationships between the information we have captured and our revenues.		8 marks
	No rewardable material	0
Level 1	Identifies and explains in minimal detail the advantages and disadvantages of using big data analytics	1-3
Level 2	Identifies and explains in detail the advantages and disadvantages of using big data analytics	4-6
Level 3	Identifies and explains in detail the advantages and disadvantages of using big data analytics with application to the scenario.	7-8
2bii - Evaluate the potential value of student data as a source of competitive advantage.		7 marks
	No rewardable material	0
Level 1	Analyses to a limited extent the potential value of Flatthall student data as a source of competitive advantage	1-2
Level 2	Analyses in a clear and logical manner the potential value of Flatthall student data as a source of competitive advantage	3-5

Level 3	Analyses in a clear, logical and comprehensive manner the potential value of Flatthall student data as a source of competitive advantage	6-7
----------------	--	-----

Task 3		
(a)	E. Manage internal and external stakeholders	50%
(b)	D. Measure performance	25%
(c)	D. Measure performance	25%

E - I can explain the financial reporting implications of additions to the group (12 marks)		50%
3ai - An explanation of what the financial reporting implications would be of the acquisition and the fair-value adjustments required.		13 marks
	No rewardable material	0
Level 1	Analyses to a limited extent the reporting implications of the acquisition of OneStopGym	1-4
Level 2	Analyses in a clear and logical manner the reporting implications of the acquisition of OneStopGym	5-9
Level 3	Analyses in a clear, logical and comprehensive manner the the reporting implications of the acquisition of OneStopGym, including any fair value adjustment	10-13

D - I can select appropriate accounting treatments and explain their implications for users of the financial statements (6 marks)		25%
3bi - Explain whether the impending legal action and our insurance excesses should be provisions or contingent liabilities and how each should be treated in our accounts.		6 marks
	No rewardable material	0
Level 1	Identifies and explains in minimal detail if the potential legal action and insurance claims are liabilities or contingent liabilities.	1-2
Level 2	Identifies and explains in detail if the potential legal action and insurance claims are liabilities or contingent liabilities.	3-4
Level 3	Identifies and explains in detail if the potential legal action and insurance claims are liabilities or contingent liabilities, and includes impact on financial statements.	5-6

D - I can select and apply suitable tools and techniques for managing risk and uncertainty in business models (6 marks)		25%
3bi - Discuss the advantages and disadvantages of undertaking sensitivity analysis in relation to marketing spend and its impact on our sales of rooms.		6 marks
	No rewardable material	0
Level 1	Identifies and explains in minimal detail the advantages and disadvantages of sensitivity analysis	1-2

Level 2	Identifies and explains in detail if the advantages and disadvantages of sensitivity analysis	3-4
Level 3	Identifies and explains in detail if the advantages and disadvantages of sensitivity analysis, with application to the scenario.	5-6

Task 4		
(a)	B. Implement senior management decisions	25%
(b)	B. Implement senior management decisions	25%
(c)	B. Implement senior management decisions	50%

B - I can select suitable financing sources and explain the characteristics of the different types of funding (12 marks)		50%
4ai - Explain the benefits and drawbacks of issuing preference shares to both our investors and ourselves as the issuing company.		6 marks
	No rewardable material	0
Level 1	Identifies and explains in minimal detail the benefits to Flatthall and investors of preference shares	1-2
Level 2	Identifies and explains in detail the benefits to Flatthall and investors of preference shares	3-4

Level 3	Identifies and explains in detail the benefits to Flatthall and investors of preference shares, as well as any potential drawbacks for investors	5-6
---------	--	-----

B - I can apply appropriate project management tools and techniques to effectively manage projects at the appropriate stage in the project life cycle (6 marks)		50%
4ai - Explain the five main phases of the project management process and assess the importance of good communication in projects.		6 marks
	No rewardable material	0
Level 1	Identifies and explains in minimal detail the main phases of project control	1-2
Level 2	Identifies and explains in detail the main phases of project control	3-4
Level 3	Identifies and explains in detail the main phases of project control including project review points.	5-6

B - I can apply appropriate project management tools and techniques to effectively manage projects at the appropriate stage in the project life cycle (13 marks)		50%
4bi - Assess the leadership approach John has demonstrated and suggest any training you believe he needs to become a more effective project leader.		6 marks
	No rewardable material	0

Level 1	Identifies and explains in minimal detail the leadership approach undertaken by John	1-2
Level 2	Identifies and explains in detail the leadership approach undertaken by John	3-4
Level 3	Identifies and explains in detail the leadership approach undertaken by John and makes recommendations for John to be more effective	5-6
4bii - Additionally, analyse the key roles and stakeholders involved in a complex project such as this refurbishment project, with an explanation of what they involve.		7 marks
	No rewardable material	0
Level 1	Identifies and explains in minimal detail the key roles for a complex project	1-3
Level 2	Identifies and explains in detail the key roles for a complex project	4-5
Level 3	Identifies and explains in detail the key roles for a complex project, with application to the scenario	6-7